



Prelim Title Expiration Date: //



Section 2 – Underwriting Conditions

Liberty Group Funding Inc.

Borrower: **Porter, Justin**

Co-borrower: ,

Prior to Approval ("PTA") Conditions:

- 1.

Prior to Closing Disclosure ("PTCD") Conditions:

1. Early CD - Closing Request Form - Closing request form to be completed once loan is locked.
2. Early CD - Escrow Settlement Statement - Escrow Settlement Statement to be provided confirming settlement fees
3. Third Party Invoices - Provide all Third-Party Invoices to be reflected on the final CD
4. Early CD - NBS Contact Info - NBS info to be added to Closing Request Form, required to send CD: Name, email address, phone number. PSS to waive if not required for transaction.

Prior to Docs ("PTD") Conditions:

1. Business Narrative Form (Bank Statement Loan) - Income not finalized until received-may be subject to additional conditions***Borrower to complete the Business Narrative Form for their company. Form can be found on the Broker Portal.
2. Hazard Insurance Policy - Provide hazard insurance policy with a minimum coverage of 45 days from the date of closing for a refinance, and 12 months from the date of closing for a purchase transaction reflecting The Loan Store, Inc ISAOA as the mortgagee. Additionally, provide proof policy is paid or the balance due on the policy to be collected at closing.
3. LOE - Cash-Out (Non-QM) - Provide a letter explaining the use of loan proceeds is required for all transactions (Note: For all investment property transactions, any loan proceeds used to pay off personal debt creates a consumer transaction, and the loan is subject to ATR and TRID. This includes any past draws, regardless of timing, on a HELOC secured by the subject property. Business purpose transactions will require a draw history schedule, along with an attestation from the borrower, in the credit file, that none of the advances were used for personal/consumer use).
4. Hazard Insurance Replacement Cost Estimate - Most recent Replacement Cost Estimate from the insurance company is required to confirm the replacement cost of the subject property and validate that the hazard insurance includes sufficient dwelling coverage. Not required if policy states "Guaranteed Replacement Coverage".
5. LOE - Credit Inquiries - Provide signed and dated LOE from [Borrower] to explain all recent credit inquiries within the previous 90 days and state whether new credit was obtained. Provide verification of any credit inquiries that resulted in new debt payments for qualification.
6. Prelim Title Commitment (Non-QM) - Provide prelim title commitment together with a 24 month chain of title and tax certification
7. Appraisal Report - A full interior and exterior (Form 1004/1073/1025) appraisal is required. The broker must order the appraisal through CMS. The appraisal must be reviewed and approved by the underwriter.
8. Title Documents - Provide Closing Protection Letter reflecting TLS as the lender (excluding New York), Wiring Instructions (to match CPL), E&O Insurance
9. Housing Payment History - Provide verification of ontime payments for -NATIONSTAR X9111 NOV-MONTH OF CLOSE, FREEDOM X9365 DEC-MONTH OF CLOSE, BANK SERVICES X0913 NOV-MONTH OF CLOSE
10. LOE - Significantly Increasing Income - Provide signed and dated LOE from [Borrower] to explain significantly increasing income from prior 6 months [26% of increase]
11. Vesting Held in LLC (Non-QM) - Provide documentation of the following: (1) Copy of the filed articles of organization to evidence the existence of the LLC and that it was created to manage rental properties; (2) Borrower is at least 50% owner; (3) Fully executed operating agreement reflecting the borrower is an authorized signer on behalf of the LLC and has the power to first mortgage the security property for the purpose of securing a loan; (4) Certificate of Good Standing or equivalent; (5) W9/EIN
12. Other Real Estate Owned (REO) - Provide evidence of the current taxes, insurance and HOA dues (loe if none) for [910 east st rd, 920 east st rd, 173 blackburn ave]. If taxes and insurance are escrowed as evidenced by mortgage statement, then only provide HOA statement, if applicable

Prior to Funding ("PTF") Conditions:

1. Final PITI/DTI (NQM) - Loan was CTC with PITIA of \$TBD and DTI of TBD% If changes to Taxes/HOI/HOA increase DTI by 3% or over 35%, loan must be returned to the Underwriter for review.
2. Verbal VOE - Verbal VOE required. TLS to independently confirm borrowers current employer and employment status prior to releasing closing documents. Verbal VOE for borrower: _____ completed on : _____ Verbal VOE expires on: _____ Number of jobs verified: _____
3. Verified Funds to Close - [Underwriter] has verified total funds to close not to exceed \$TBD. Additional funds to close must be qualified and verified by the underwriter
4. Cash Out Reserves (Non QM) - Borrower is utilizing Cash Out proceeds for reserves. Final CD must show borrower receiving a minimum of \$22,000 cash in hand at closing.
5. Note to Settlement Agent- Document Signing Requirements - Amendments to the closing documents must be approved by the lender. Documents may not be executed prior to the note date or date on the documents. Countersigned documents are not allowed, all parties must sign the same set of closing documents. If borrower (s) are signing outside of the country, signing must occur at a US Embassy. Documents must not be date stamped, original signatures/dates are required. Electronic signatures are not allowed on closing documents for borrower (s) or any Non-Borrowing Owner(s). If documents are re-drawn, all new documents must be executed, we do not accept documents from previous closing packages.
6. Final Title Policy - Final title policy to include all standard endorsements including ALTA 8 and ALTA 9 as well as any endorsements specific to loan type.(Ex. Condo, PUD, MH, T19, etc.)
7. Notary Acknowledgements - Notary acknowledgements prefill with note date, for mail away closings or escrow states where documents are not date sensitive, notary may use a separate notary acknowledgement or cross through the date and correct with initials.
8. Non-Borrowing Spouse - Non-borrowing spouse to sign the mini-set, including but not limited to the Security Instrument, Closing Disclosure, and the Notice of Right to Cancel (if applicable) in order to perfect a valid and enforceable first lien as applicable under state law.
9. Vesting Held in LLC (Closing) - Vesting is in the name of an LLC. All borrowers must sign a guaranty that will be prepared by the Closer. A separate guaranty form is not required if the borrower is signing the note on behalf of both the LLC as the borrower and also as an individual guarantor. Additional signature line must indicate "as guarantor". Original must be delivered with original Note.